

“self-negating rule.” I suppose it is. Well, life is full of contradictions.)

Stop losses are a substitute for thought. What I present above are aids to thinking about the problem.

If there is one general principle, it is this: if you’ve done the job right and bought a stock only after careful study, then you should be a reluctant seller. I’ll end this section on when to sell with one of my favorite quotes, from Martin Whitman at Third Avenue Funds: “I’ve been in this business for over fifty years. I have had a lot of experience holding stocks for three years; doubled, and I sold it for somebody else, for whom it tripled in the next six months. You make more money sitting on your ass.”

If you are hunting for 100-baggers, you must learn to sit on your ass.

Buy right and sit tight.

Coda: There Is No Magic Formula

By now, you’ve figured out there is no magic formula for producing 100-baggers. There is no easy way to screen for them. Still, in this final chapter, I’ve distilled things down to essential principles. Keep it handy and refer back often in your quest for 100-baggers.

I wish you good fortune and many 100-baggers in your own investing pursuits. And I hope this little book contributes in some small way to your successes.